

Michigan Exam Prep: Duties and Powers of the Department and the State Board of Real Estate

STUDY SHEET

Top Takeaways

You can expect to see three questions related to the duties and powers of the Department and State Board of Real Estate on your licensing exam.

General Powers

- The Department of Licensing and Regulatory Affairs (LARA) is referred to as the "department" on your licensing exam and throughout this study sheet.
 - The governor, upon the Michigan Senate's consent and advice, appoints a director to act as the executive head of the department. The governor also has the right to remove the director.
 - General duties and powers of the department include:
 - Issuing licenses to those who meet the requirements
 - Renewing licenses of those who fulfill all the requirements
 - Promulgating rules in order to implement Michigan occupational code
 - Reviewing and approving licensing examination content
 - Approving education providers to offer licensing courses
 - Controlling files of all state boards to ensure public access laws are met
 - Providing state boards with office services and staff
 - Contracting with other people or entities to perform duties on the department's behalf
 - Conducting orientations for new board members
 - Publishing annual reports of department activities
 - Investigating complaints
- The Board of Real Estate Brokers and Salespersons is referred to as the "board" on your licensing exam and throughout this study sheet. The board is created under the department.
 - The board consists of nine members; six are licensed real estate brokers and the remaining three represent the general public. The director is considered a non-voting, ex officio member.
 - The governor, upon the state senate's consent and advice, appoints board members. The governor can also remove members for cause.
 - Members elect a chairperson and other officers
 - Elected officers serve one-year terms in their positions.
 - Members serve four-year terms, serving no more than two full terms. Terms begin on July 1.
 - If filling a vacancy due to the previous member's removal, resignation, death, or disability, then the new member serves the remainder of the original member's term.
 - Vacancies must be filled within 60 days.
 - Board members don't receive a salary, but the department pays them a per diem and reimburses travel and board-related expenses.
 - The board must meet as often as necessary to fulfill its duties, but no less than twice per year. A majority of members (at least five) must be present to have a quorum. Members can't vote by proxy.
 - The board's duties include:
 - Interpreting licensing requirements and assisting the department in interpreting these requirements
 - Assisting with investigations, including attending informal conferences
 - Assisting the department in implementing Michigan occupational code
 - Promulgating rules to assist with performing its duties and setting minimum standards of real estate practice
 - Assessing penalties upon hearing completion
 - Recommending education provider and program approvals to the department
 - Developing licensing exams

Investigations, Conferences, Hearings, and Exemptions

- Complaints for violations of real estate laws are filed with the department using a Statement of Complaint form. Complaints can be filed by any person (including consumers or other licensees) or entity (including the board, the department, or the attorney general).
- Complaints must be filed within 18 months of the alleged violation or the date the real estate transaction completed.
- Upon complaint receipt, the department immediately opens a correspondence file and provides written acknowledgment to the complainant within 15 days. If the complaint is related to a licensing law or regulation violation, the department's investigative unit will begin an investigation.
- During the course of the investigation, the department can ask the attorney general to petition the court for a subpoena to require any person to appear before the department, or for documents or other records relevant to the investigation.

- Within 30 days of complaint receipt, the investigative unit must provide the department director with a status report. The director can provide an extension if needed.
 - If the report finds no evidence that a violation occurred, the complaint can be closed and the reason for closing the complaint provided to the complainant and respondent. If additional information is provided, the complaint may be reopened.
 - If the report finds evidence that a violation occurred, the department or attorney general can issue a formal complaint, cease and desist order, notice of summary suspension, or citation.
- At any point during the investigation up until the point a formal complaint is issued (which can be done if there's evidence of a violation), the department can bring the two parties together for an informal conference to attempt to resolve the issue and reach a settlement or agreement.
 - The conference may be attended by a member of the board.
 - Possible results of the conference include settlement, consent order, waiver, default, or other method of settlement. A settlement can include license revocation, suspension, or limitation, censure, probation, restitution, or penalty.
 - The board may reject the settlement and move the complaint to a contested case hearing.
- A notice of summary suspension can be issued if the department believes there to be a threat to public health, safety, or welfare.
 - Licensees can't practice real estate while their license is suspended.
 - The licensee may petition the department to remove the suspension. If the licensee does, the department must immediately schedule a hearing on the matter.
 - An administrative law hearings examiner can relieve the licensee of the suspension if there's no evidence that the licensee poses an imminent threat.
 - Everything that goes on as part of this hearing becomes part of the original complaint record.
- A cease and desist order can be issued to stop a licensee from committing a violation.
 - The recipient can request a hearing with the department within 30 days of the order.
 - If the licensee violates the department's cease and desist order, the attorney general can apply for an order from the state circuit court to either temporarily or permanently refrain from committing further violations of the order.
- A cease and desist order and a notice of summary suspension vary in scope. A cease and desist order is basically telling a person to stop performing a certain act (in other words, stop committing this violation). If the person holds an active real estate license, he or she can keep practicing real estate. A notice of summary suspension, however, is a license suspension. The person must stop all acts related to the practice of real estate.
- If a formal complaint is issued, the department sends notice to the complainant and respondent.
 - The respondent has 15 days to decide whether or not to negotiate a settlement, demonstrate compliance, or proceed to a contested hearing.
 - If the respondent fails to reply within the allowed 15 days the formal complaint will proceed to a contested hearing.
- The department or attorney general can petition the court for a subpoena to require any person to appear and testify at the contested case hearing, or for relevant records to be provided.
- An administrative law examiner presides over contested case hearings and will determine whether a violation occurred. The examiner issues a hearing report, which may include recommended penalties, to the department and board.
 - The department and board must accept the examiner's findings of facts and conclusions of law. In other words, if the examiner finds a violation didn't occur, then the board must accept this as fact.
 - A copy of the report must be provided to the parties in the case.
 - Within 60 days of receiving the report, the board must meet to determine penalties. The board can request transcripts of the contested case hearing and if it does, it must meet to determine penalties within 60 days of transcript receipt. Any member who attended an informal conference related to the complaint can't participate in decisions related to penalties.
 - If the board fails to act within the required timeframe, the director can determine a penalty and issue a final order.
- The attorney general can intervene and prosecute cases. This doesn't prevent the department from bringing civil, criminal, or administrative actions.
- The department may seek other resolution techniques, such as mediation.

Penalties

- If a person is caught practicing a regulated profession (such as real estate) without a license, it's a misdemeanor offense.
 - First-time violations carry a \$500 fine and/or 90 days imprisonment.
 - Subsequent violations have a penalty of \$1,000 and/or one year imprisonment.
- The following violations may carry other penalties:
 - Deceitful or fraudulent actions in order to obtain a license
 - Deceitful, dishonest, or fraudulent business practices
 - Violation of real estate conduct rules
 - Lack of good moral character
 - Gross negligence
 - False advertising
 - Incompetence
 - General rule violations
 - Failure to appear when subpoenaed
 - Failure to comply with previous penalties (such as a citation or final order)
 - Knowingly aiding an unlicensed person in business practice
- For any of these violations, one or more of the following penalties can be assessed:
 - License limitation
 - License suspension

- License denial or denial of license renewal
- License revocation
- Administrative fine of as much as \$10,000, payable to the department
- Censure
- Probation
- Restitution
 - If restitution must be made, the individual's license will be suspended until that is done.
- If a licensee commits a violation, his or her broker may also face disciplinary action for failure to supervise.

Michigan Laws and Rules

The Candidate Information Bulletin lists the Michigan Laws and Rules you should be familiar with when preparing for the licensing exam. While we've summarized the laws related to the topics included in this study sheet, you may also find it helpful to read through the laws. Check out the Examination Study Materials section of the bulletin for more information.